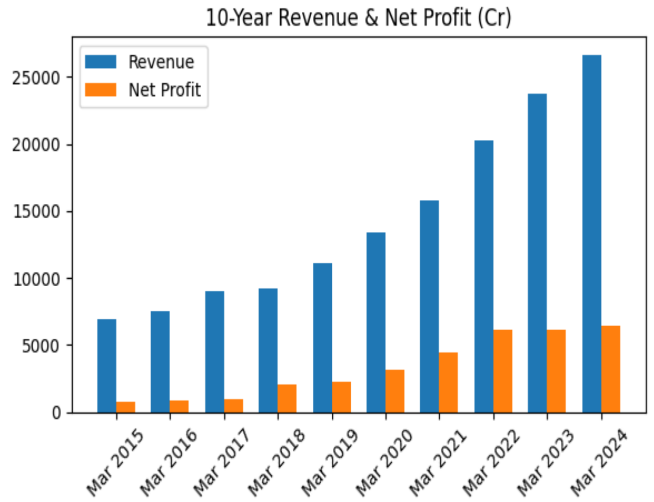
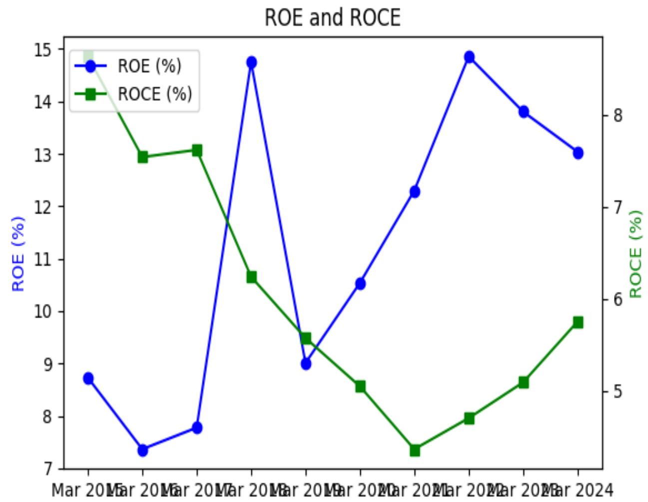
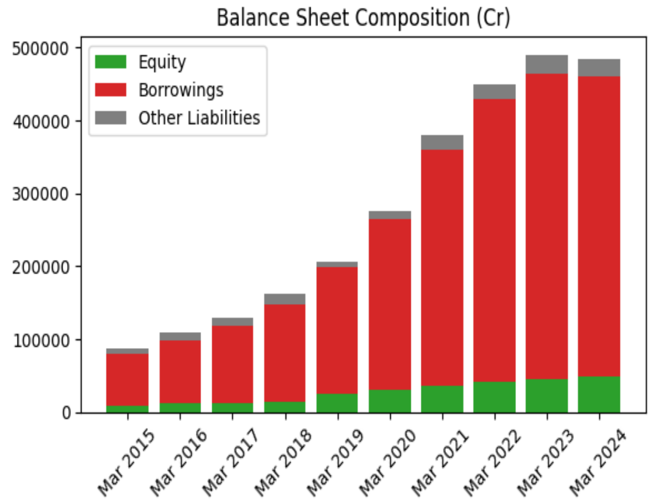
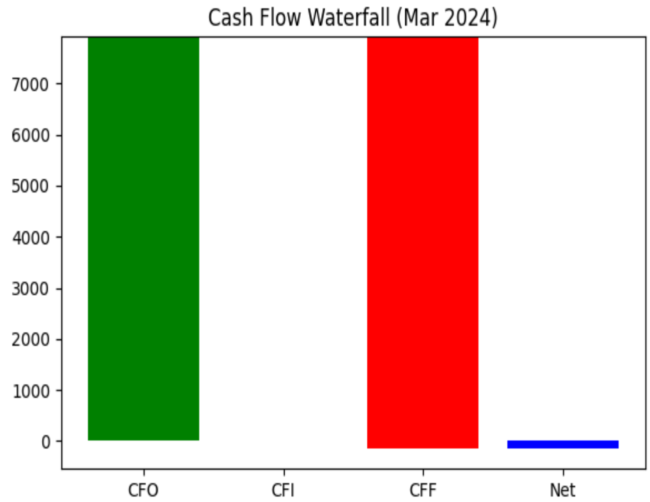
Indian Railway Finance Corporation Ltd (IRFC)

Revenue ■26,902 Cr	**Net Profit** ■6,537 Cr	**ROE** 13.0%
ROCE 5.7%	**CFO Quality** Accrual Risk	**Allocation** Reinvestor









Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation Pattern: Reinvestor